higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE (VOCATIONAL)

ECONOMIC ENVIRONMENT
NQF LEVEL 2

20 NOVEMBER 2019

This marking guideline consists of 5 pages.

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SECTION A

QUESTION 1

1.1	1.1.1	B		
	1.1.2	A		
	1.1.3	C		
	1.1.4	D		
	1.1.5	C		
	1.1.6	A		
	1.1.7	A		
	1.1.8	C		
	1.1.9	C		
	1.1.10	D		
			(10 × 1)	(10)
1.2	1.2.1	E		
	1.2.2	H		
	1.2.3	G		
	1.2.4	C		
	1.2.5	B		
	1.2.6	K		
	1.2.7	A		
	1.2.8	I		
	1.2.9	J		
	1.2.10	D		
			(10 × 1)	(10)
				[20]

QUESTION 2

2.1	2.1.1	Social environments		
	2.1.2	Physical environments		
	2.1.3	Economic environments		
	2.1.4	Physical environments		
	2.1.5	Economic environments		
			(5 × 1)	(5)
2.2	2.2.1	• Technology • Interest rate • Inflation rate • Exchange rate • Industrial policies	(Any 3 × 1)	(3)
	2.2.2	The banks will decrease the interest rate they charge their clients.		(2)
				[10]

TOTAL SECTION A: 30

SECTION B

QUESTION 3

3.1 3.1.1 Inflation is a continuous increase in the general level of prices. (2)

3.1.2
- Consumers borrow large amounts of credit to buy goods and services.
- The interest rate is low.
- There are massive foreign investments in the country.
- The government has decreased tax rates.
- South African goods are on demand in the foreign market.

(5 × 2) (10)

3.1.3
- Rise in clothing price
- Rise in basic food price
- Rise in fuel price
- Rise in the cost of water and electricity (Any 3 × 2) (6)

3.1.4 It occurs when prices rise as a direct result of a rise in production costs. (2)

3.2 3.2.1 $250 × R12✓ = R3 000✓ (2)

3.2.2 R12 × 10%✓ = R1,20✓
R12 –R1,20 = R10,80✓
The new exchange rate is $1 = R10,80.✓ (4)

3.2.3 $250 × R10,80✓ = R2 700✓ (2)

3.2.4 The South African prices of exports are cheaper, therefore we export more and economic activity is increased. (2)

[30]

QUESTION 4

4.1
- Earthquake
- Tornado
- Hurricane (Any 2 × 1) (2)

3 Extreme weather conditions can cause natural disasters such as tornadoes and hurricanes.✓✓ These natural disasters are sometimes easy to predict, but they also can occur quite suddenly.✓✓
Extreme weather conditions or the movement of earth plates often causes floods, mudslides and famines.✓✓ Many scientists see these types of events as secondary natural disasters, and the causes vary greatly.✓✓ (Any 2 × 2) (6)

4.3 Spending,✓ taxation✓ and borrowing✓ (3)

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4.4
- Durable goods✓ – goods that last for a very long time, for example, furniture✓
- Semi-durable goods✓ – do not last as long as durable goods, for example, appliances✓
- Non-durable goods✓ – do not last long and have to be consumed immediately, for example, food✓ (3 × 2) (6)

4.5 When disasters strike, poor people often lose their assets on which their survival depends.✓ At the same time, their limited resources, lack of access to education and health services can increase their exposure to risks.✓ For example, many poor people's livelihoods depend on agriculture. However, a drought or flood can destroy a year's income in the blink of an eye.✓ Developing countries are more exposed to the risks of disasters, as their inhabitants often lack the ability to cope with or adapt to such events.✓ Disasters will cause economic inactivity in another part of the world,✓ which will decrease South African exports, for example.✓ Fewer exports will decrease domestic economic activity, and spending in the economy will decrease.✓ Jobs will be lost and people will live in poverty.✓ (9)

4.6 Globalisation is the process of increasing integration of markets in the world economy, or it means businesses operating in an international market. (2)

4.7
- There is a smaller demand for domestic goods.
- Jobs are lost in the manufacturing sector.
- Local manufacturers close down their businesses. (Any 2 × 1) (2)

[30]

QUESTION 5

5.1 5.1.1 R980 ÷ R13.50✓ = $72.59✓ (2)

5.1.2 R980 ÷ R16✓ = €61.25✓ (2)

5.2 5.2.1
- The price of a product
- The prices of inputs
- The prices of alternative products
- The technology needed to make the product (3 × 2) (6)

5.2.2
- Uniformity
- Durability
- Divisibility
- Manageability
- Relative scarcity
- Stability (Any 4 × 1) (4)

5.2.3
- Improves the standards of living
- Introduces consumers to new products
- Some imported goods are cheaper (6)

- Quality products (Any 3 × 2)

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5.3 5.3.1 A – Expansion phase
B – Peak
C – Contraction
D – Trough (4)

5.3.2 Increased economic activity (2)

5.3.3 There is a decline in economic activity, and as a result, jobs might be lost and purchasing will decrease. (2)

5.3.4 A decline in economic activity will bring about a decrease in the need for imports and a lower demand for exports, while consumers will have less purchasing power. (2)
[30]

QUESTION 6

6.1
- Export credit insurance
- Customs and excise duty refunds
- Export credit incentives
- Export marketing and investment assistance (4)

6.2 A trade deficit occurs when imports are more than exports✓✓ and a trade surplus occurs when exports are more than imports.✓✓ (4)

6.3
- The ownership of labour belongs to the person selling the labour service.
- Labour cannot be stored for future use.
- Labour is heterogeneous.
- The geographical and occupational mobility of labour is relatively low.

(4 × 2) (8)

6.4
- One understands a person better when one knows his/her language,✓✓ and one will be able to communicate better regarding trading terms.✓
- Culture gives one insight into the likes and dislikes of a person✓✓ and one needs to know the cultural differences in order to trade better with foreign countries.✓ (2 × 3) (6)

6.5
- Government must provide for orphaned children.
- Ongoing treatment must be received by the sick and be provided by government.
- Training and educating people on HIV/Aids cost money and time.
- The government budget must be adjusted in order to accommodate health care. (4 × 2) (8)

[30]

TOTAL SECTION B: 120
GRAND TOTAL: 150

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